

Avoid Regret: How And When To Sell Big Winners

RUNNING A MONEY-MANAGEMENT firm provides a window into the psyches of all kinds of investors: Long-term holders, real estate speculators, institutional traders, tech entrepreneurs, and everyone in between. I speak with all sorts of people who have capital at risk in various asset classes.

Every now and again, I speak with someone suddenly sitting on enormous, life-changing wealth. The sheer size of the windfall has them paralyzed, afraid to make a decision—*any decision*—that might be wrong. It isn't just that they don't know what to do; rather, they have no idea about how to even think about the sell decision.

Let's consider an instructive war story: During the mid-1990s, a good friend took a senior job at a tech startup that came with a good salary—and lots of stock. In late 1996, they were bought by Yahoo! Inc. The shares in the startup were replaced with Yahoo stock options that had a six-year vesting schedule, with 25% vesting after three years and the balance vesting in ~2% monthly increments in years four, five, and six.

These were heady times for those of us trading back then. Tech stocks, especially dotcoms, had galloped higher, doubling and tripling over short periods. It seemed every sale was a source of regret, as stocks simply kept going up, up, up.

My buddy's stock options represented a great deal of wealth. Not merely fun money, but life-altering: Pay off the mortgage and the car loans, pay for the kids' colleges, fully fund retirement accounts, and still have cash left over. He could take any job he wanted for the rest of his life—or none at all.

He was torn about what to do and asked my opinion.

My advice was not based on any belief that the dotcoms were in a bubble,